3.5 Labor Markets and Minimum Wage

Video: Labor Markets and Minimum Wage (Crash Course Economics)

Supply and Demand for Labor

Getting a job comes down to supplying a _____ that someone else demands.

Soccer star Cristiano Ronaldo earns about $20 million a year because the supply of world-class players is low and the demand for them is incredibly high.

When you apply for a job, you supply labor, so you are the _____ and the employer is the buyer. When both agree on a wage that makes each better off, economists call it _____.

The wage offered has to cover the worker's _____: lost free time and the money he could make doing something else.

The demand for labor depends on the demand for the product a business sells. This is called _____.

Why Wages Differ

Engineers are paid more because demand is high and supply is limited by difficult training.

_____ is when workers are paid less because of race, ethnic origin, sex, age, or other characteristics, not their skills.

A _____ is a labor market where there is only one company hiring and workers are relatively immobile, so wages may be unfairly low.

Wages Above Equilibrium

_____ are higher-than-normal wages that employers offer to increase productivity and retention. Henry Ford doubled his workers' wages in 1914.

A _____ advances the collective interest of employees. Representatives negotiate with employers through _____, and if demands aren't met, workers may go on _____.

Union membership has declined since the 1950s, from about 1 in 3 American workers to about 1 in 9.

The Minimum Wage

A _____ is a _____ that prevents employers from paying workers below a specific amount.

It directly affects less than 3% of U.S. workers, but a ripple effect could raise the wages of nearly 30% of the workforce.

Two Sides of the Debate

Some economists argue against a minimum wage	Other economists argue for a minimum wage
It can lead to _____ and hurt the people it is meant to help.	Real labor markets are not as competitive as classical models suggest.
Employers may stop hiring _____, who then earn no wage at all.	Individual workers lack _____, so a minimum wage corrects _____.

Even supporters disagree on how high it should be. In 2014, 600 economists argued for $10.10 an hour, saying workers would spend more and increase demand. Some worried that $15 could hurt employment in places where incomes are lower.

The evidence is mixed. Card and Krueger found employment in New Jersey increased after its 1992 raise, but other studies indicate raising the minimum wage does increase unemployment.

Many economists agree that policies that fight poverty should also focus on providing _____ and skills, because skills in short supply and high demand command higher wages.

Think About It

What skill could you build in the next few years that is in high demand? How might it affect the wages you could earn? _____